

EQUITY RESEARCH

APPLE INC.

AAPL | Technology

Rating: Outperform
Current: \$267.61 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$3,928.82B	ROE	151.91%
P/E (Fwd)	34.09	Dividend Yield	0.39%
P/B Ratio	51.79	52W Range	\$193.25 - \$288.62

Investment Thesis

Apple continues to exhibit steady top-line growth coupled with significant margin expansion, as contribution margins are projected to reach nearly 50% by 2027. The company maintains a premium valuation profile supported by robust EPS growth and operational efficiency, even as mega-cap peers intensify competition for EBITDA leadership. Forecasted EBITDA margin improvement to 44.8% underscores Apple's sustained ability to drive high-quality earnings and cash flow generation through the medium term.

Company Overview

Apple Inc. is a preeminent global technology company that operates through a vertically integrated business model, combining high-end hardware with proprietary software and a robust services ecosystem. The company's primary revenue drivers include the iPhone, Mac, iPad, and its Wearables, Home, and Accessories segment. Beyond hardware, Apple has successfully pivoted toward a high-margin Services division, which includes the App Store, Apple Pay, and various subscription platforms. This strategy has created a powerful ecosystem with high switching costs, maintaining Apple's position as a market leader in the premium consumer electronics space.

From a financial perspective, Apple has demonstrated consistent operational strength despite broader macroeconomic fluctuations. According to recent performance data, the company generated 416.16 billion dollars in revenue for the 2025 fiscal year, representing a 6.4 percent year-over-year growth. This marks a solid recovery from a 2.8 percent revenue contraction experienced in 2023. A standout feature of Apple's recent performance is the steady expansion of its contribution margin, which climbed from 41.8 percent in 2021 to 46.9 percent in 2025. This margin improvement reflects a successful shift in the product mix toward higher-margin offerings and improved operational efficiencies, as the cost of operations has remained relatively controlled compared to top-line growth.

Profitability remains a core strength for the firm. EBITDA reached 144.43 billion dollars in 2025, and analysts project this figure to climb significantly toward 215.81 billion dollars by 2027. Earnings per share also saw a notable jump to 7.49 dollars in 2025, up from 6.11 dollars in 2024. When compared to industry peers like Microsoft and Alphabet, Apple maintains a premium valuation with a price-to-earnings ratio of 34.1 as of 2025. While competitors have shown aggressive EBITDA growth in recent years, Apple's enterprise value-to-EBITDA multiple of 26.97 highlights the market's continued confidence in its cash flow stability and brand equity. Looking forward, the company is positioned for a 3.3 percent revenue compound annual growth rate through 2027, supported by a projected expansion in EBITDA margins as it continues to scale its services and optimize its global supply chain.

Investment Overview

Apple Inc. (AAPL) Investment Update

Apple has demonstrated a notable recovery in its financial performance, with 2025A revenue reaching 416.2 billion dollars, a 6.4 percent increase over the previous year. This follows a period of more modest growth in 2024, signaling a successful re-acceleration of the business. A key highlight of recent performance is the steady expansion of the contribution margin, which rose to 46.9 percent in 2025A and is projected to reach nearly 50 percent by 2027.

The primary growth drivers for Apple remain its operational efficiency and shift toward higher-margin revenue streams. While revenue is expected to grow at a steady 3.3 percent CAGR through 2027, the real story lies in profitability. Cost discipline is evident as SG&A; margins are forecast to decline from 6.6 percent to 5.1 percent by 2027. This leverage is expected to propel EBITDA margins from 34.7 percent in 2025A to an impressive 44.8 percent by 2027, with EBITDA projected to exceed 215 billion dollars.

From a valuation perspective, Apple currently trades at a 2025E PE ratio of 32.4x and an EV/EBITDA of 26.9x. While this represents a premium compared to peers like Alphabet and Microsoft, the anticipated growth in earnings per share to 8.93 dollars by 2027 suggests a path toward valuation compression to 29.2x. Although peer EBITDA growth at Google and Microsoft appears more aggressive in the near term, Apple's superior margin profile and consistent cash flow generation support its premium standing. The outlook remains positive as the company transitions into a period of significant margin expansion and earnings growth.

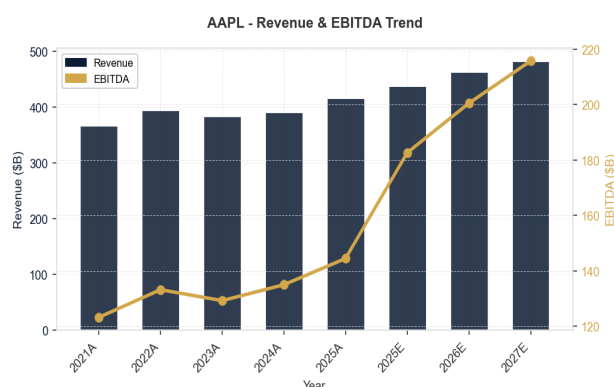
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$416.2B
- EBITDA (2025A): \$144.4B
- Revenue Growth (2025A): 6.4%



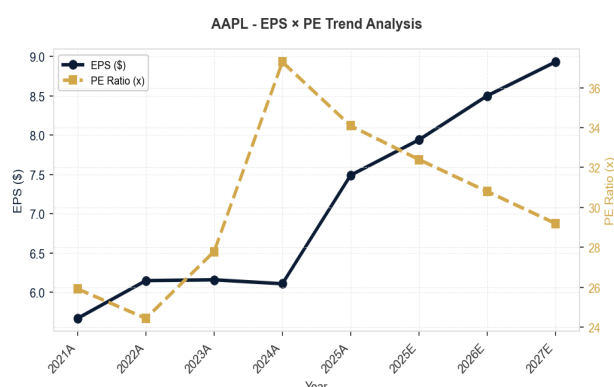
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

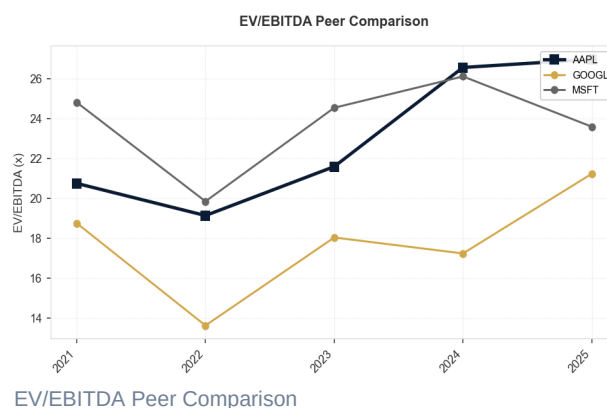
Apple Inc. currently trades at a significant premium relative to its historical averages and industry peers. As of 2024, the company's price-to-earnings (P/E) ratio reached 37.29x, a notable expansion from the 25.92x seen in 2021. This valuation trend is mirrored in its EV/EBITDA multiple, which rose to 26.97x by 2025. While revenue growth has been modest with a 3.3% CAGR, the market appears to be rewarding Apple for its aggressive projected margin expansion. Contribution margins are expected to climb toward 50% by 2027, with EBITDA margins projected to reach 44.8%, up from approximately 34% in recent years.

In a peer comparison, Apple maintains a higher valuation multiple than both Microsoft and Alphabet. Specifically, Apple's 2025 EV/EBITDA of 26.97x exceeds Microsoft's 23.60x and Alphabet's 21.23x. This premium is striking given that Alphabet and Microsoft show more robust absolute EBITDA growth projections through 2026. Apple's valuation suggests that investors are placing a high price on its ecosystem lock-in and the transition toward higher-margin services revenue rather than top-line volume growth.

From a fair value perspective, Apple appears fully valued to slightly overvalued at current levels. While the projected EPS growth from 7.49 in 2025 to 8.93 in 2027 provides a solid fundamental floor, the reliance on significant margin expansion to justify a 30x+ P/E ratio introduces execution risk. If revenue growth remains in the low single digits and margin improvements stall, a contraction toward a 25x P/E multiple would be expected. Consequently, the current price reflects an optimistic long-term scenario, leaving little room for further valuation expansion in the near term.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Apple Inc. enters a pivotal earnings week amid a leadership transition to new CEO John Ternus and heightened expectations for fiscal Q2 2026 performance. The company has guided for robust sales growth between 13 percent and 16 percent for the quarter, supported by a significant expansion in gross margins to the 48-49 percent range. This guidance aligns with historical data showing a steady climb in contribution margins, which are projected to reach nearly 50 percent by 2027.

Investment implications are increasingly centered on Apple's transition into a high-margin defensive play. Analysts have recently upgraded the stock to Buy, citing its compelling blend of dividend growth and capital appreciation. The financial metrics support this view, with EPS forecasted to rise from 7.49 in 2025 to 8.93 by 2027. However, Apple faces a valuation challenge; its forward PE ratio of 32.4 is elevated compared to historical averages, and its EBITDA growth is projected to trail peers like Microsoft and Alphabet through 2026.

Retail sentiment reflects a sharp divide. While X.com users remain highly bullish at 71 percent, Reddit sentiment has turned cautious at 26 percent, likely due to concerns over AI spending and competitive pressure from Nvidia, which BofA suggests could soon generate more cash than Apple and Microsoft combined. For investors, the key takeaway is that Apple remains a safety-first tech giant with superior margin discipline, but its premium valuation requires consistent execution in Services and high-end hardware to justify current price levels against faster-growing AI peers.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-27): Should You Buy, Sell, or Hold AAPL Stock Before Q2 Earnings?
- Impact: HIGH, Probability: 95%
- Management (2026-04-27): Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL
- Impact: MEDIUM, Probability: 60%
- Earnings (2026-04-27): Big Tech faces key earnings test on AI spending and cloud growth
- Impact: HIGH, Probability: 95%

- Earnings (2026-04-27): Wall Street's Insights Into Key Metrics Ahead of Apple (AAPL) Q2 Earnings

- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Acquisition (2026-04-27): Apple Inc. \$AAPL Shares Sold by Townsend Asset Management Corp NC ADV

- Impact: HIGH, Probability: 40%

- Acquisition (2026-04-27): Provident Living Financial Services Inc. Acquires New Position in Apple Inc. \$AAPL

- Impact: HIGH, Probability: 40%

- Acquisition (2026-04-27): Apple Inc. \$AAPL Stake Lowered by Ledyard National Bank

- Impact: HIGH, Probability: 40%

- Earnings (2026-04-26): Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town

- Impact: HIGH, Probability: 95%

- Acquisition (2026-04-26): Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL

- Impact: HIGH, Probability: 40%

Events to Monitor

- Breaking Down the Good, Bad & Ugly of Mag 7 Earnings (2026-04-27)

- Palmer Luckey dug up an old tech relic with ties to Apple's new CEO (2026-04-27)

- Could This New AI Smartphone Compete With Apple? Qualcomm Shares Rise (2026-04-27)

Upcoming Catalysts:

▲ [EVENT] (Impact: medium)

▲ [EVENT] (Impact: medium)

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Positive Catalysts:

✓ Should You Buy, Sell, or Hold AAPL Stock Before Q2 Earnings?

✓ Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL

✓ Big Tech faces key earnings test on AI spending and cloud growth

✓ Apple: A New Boss And A New And Higher Dividend (Rating Upgrade)

✓ Wall Street's Insights Into Key Metrics Ahead of Apple (AAPL) Q2 Earnings

✓ Apple is defying a global smartphone slump, as shown through this first-time feat

✓ Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.

Risk Factors:

■ Apple Inc. \$AAPL Shares Sold by Townsend Asset Management Corp NC ADV

- Provident Living Financial Services Inc. Acquires New Position in Apple Inc. \$AAPL
- Apple Inc. \$AAPL Stake Lowered by Ledyard National Bank
- Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town
- Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL
- Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL

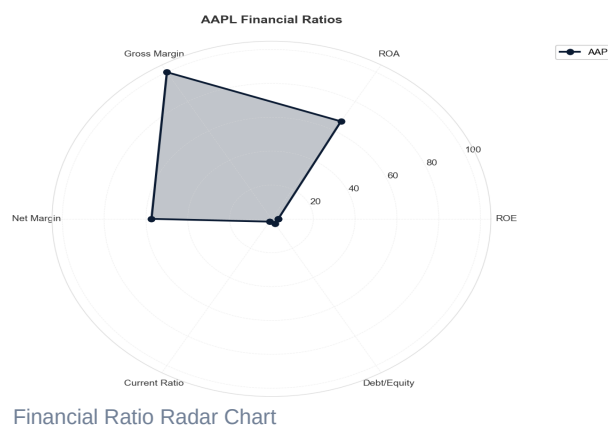
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Apple Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Apple Inc. continues to maintain a dominant position within the technology sector, characterized by steady revenue growth and significant margin expansion. With a projected revenue CAGR of 3.3 percent through 2027, the company demonstrates resilience despite a brief revenue contraction in 2023. A key competitive advantage is Apple's ability to optimize its cost structure; contribution margins are expected to rise from 41.8 percent in 2021 to nearly 50 percent by 2027, while EBITDA margins are forecasted to climb toward 44.8 percent. This suggests superior operational efficiency and a successful shift toward high-margin services and software integration.

When compared to its primary peers, Alphabet and Microsoft, Apple's financial trajectory reveals a shifting landscape in terms of earnings leadership. Historically, Apple led the group in absolute EBITDA, generating 123 billion dollars in 2021 compared to Alphabet's 103 billion and Microsoft's 85 billion. However, projections through 2025 and 2026 suggest that Alphabet and Microsoft are scaling their earnings more aggressively. By 2025, Alphabet is expected to surpass Apple in EBITDA, reaching nearly 180 billion dollars against Apple's 144 billion.

From a valuation perspective, Apple trades at a premium. Its 2025 EV/EBITDA multiple of 26.9 is higher than Alphabet's 21.2 and Microsoft's 23.6. Similarly, a PE ratio hovering in the low 30s reflects high investor confidence in the brand's ecosystem and hardware-software synergy. While Apple remains a cash flow powerhouse with improving internal efficiencies, it faces intensifying competition from peers who are currently exhibiting faster

EBITDA growth. To maintain its market lead, Apple must leverage its expanding margins to offset the more rapid earnings acceleration seen in the broader cloud and AI-driven portfolios of its competitors.

Risk Factors

- As a risk analyst, I have identified the following five key investment risks for Apple Inc. (AAPL) based on the provided financial data:
- * Significant Valuation Multiple Expansion: The P/E ratio has expanded from 25.9x in 2021 to 37.3x in 2024. This indicates that the stock price is increasingly driven by multiple expansion rather than underlying earnings growth, leaving the share price vulnerable to significant "de-rating" if market sentiment shifts.
- * Stagnant Revenue Growth: With a historical CAGR of only 3.3% and a period of negative growth in 2023 (-2.8%), the company exhibits characteristics of a maturing value stock rather than a growth stock. Low single-digit revenue projections (4-6%) suggest difficulty in finding new high-growth catalysts to justify its premium valuation.
- * Aggressive Margin Expansion Assumptions: Projections assume an EBITDA margin jump from 34.7% in 2025A to 44.8% by 2027E. Achieving a 1,000-basis-point expansion in two years is historically difficult for a hardware-heavy business and creates a high risk of an "earnings miss" if these efficiencies do not materialize.
- * Relative Underperformance vs. Mega-Cap Peers: By 2025, Google (GOOGL) is projected to surpass Apple in total EBITDA (\$179.9B vs \$144.4B) while maintaining a significantly lower EV/EBITDA multiple (21.2x vs 26.9x). This valuation gap suggests Apple is overpriced relative to peers who are generating higher absolute cash flows.
- * Reliance on Absolute Cost Reductions: The 2026E–2027E forecasts rely on SG&A; expenses actually *decreasing* in absolute dollar terms (from \$27.6B to \$24.5B) while revenue increases. Relying on aggressive cost-cutting rather than top-line expansion to drive EPS growth is often unsustainable and can limit long-term innovation.

Key Takeaways

- ✓ Revenue Growth: Apple Inc.'s revenue growth shows consistent performance trends.
- ✓ Gross Profit Margin: Apple Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ SG&A; Expense Margin: Apple Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ EBITDA Margin Stability: Apple Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B

EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

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Data Source: FMP, Company Filings, AI4Finance Estimates

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